Session in 1974. This Charter provided, among others: full sovereignty of states over their natural resources; control over multinationals; nationalization of foreign investment; sharing of common natural resources; equitable terms of trade; duty of the developed countries (DCs) to transfer technology to the less developed countries (LDCs), extension of generalized, non-reciprocal and non-discriminatory tariff preferences by the DCs to the LDCs and others.

Article 8 of the Charter explicitly stated the need for cooperation among states to facilitate more rational and equitable international economic relations and to encourage structural changes in the context of a balanced world economy in harmony with the needs and interests of all countries, especially the developing countries.

In its Twenty-Fifth Session, the UNGA had already declared the period starting from 1 January 1971 to 31 December 1981 as the Second United Nations Development Decade. The UNGA resolution pertaining to the establishment of NIEO, adopted in its Sixth Special Session, specifically recommended the International Development Strategy for the realization of the NIEO. The International Development Strategy aimed at a 6 per cent average annual rate of growth in the GDP of the LDCs during this Second United Nations Development Decade.

The most important provisions in the programme designed to establish the NIEO deal with the management and pricing of at least ten core commodities: cocoa, coffee, tea, sugar, hard fibres, jute, cotton, rubber, copper and tin, and seven other commodities with slightly lower priority: bananas, wheat, rice, meat, wool, iron ore and bauxite. Specifically, the objectives of the commodity programme were: (a) reduction of excessive price and supply fluctuations; and (b) establishment and maintenance of commodity prices which, in real terms, are equitable to consumers and remunerative to producers.

To achieve these goals, the following integrated measures were proposed:

1. Establishment of international buffer stocks
2. Creation of a common fund to finance these stocks